

**UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, D.C.**

In the Matter of

**CERTAIN SECONDARY
CYLINDRICAL BATTERIES,
COMPONENTS THEREOF, AND
PRODUCTS CONTAINING THE SAME**

Investigation No. 337-TA- _____

COMPLAINANTS' INITIAL STATEMENT ON THE PUBLIC INTEREST

Pursuant to 19 C.F.R. § 210.8(b), Complainants LG Energy Solution, Ltd. (“LGES”) and LG Energy Solution Arizona, Inc. (“LGES Arizona”) (collectively, “Complainants”) respectfully submit this Statement on the Public Interest with their Complaint. The limited exclusion order and cease and desist orders Complainants seek against Proposed Respondents EVE Energy Co., Ltd. and its affiliates (“EVE”), Robert Bosch GmbH and its affiliate (“Bosch”), Koki Holdings Co., Ltd. and its affiliate (“Koki”), and Chervon (China) Trading Co., Ltd. and its affiliates (“Chervon”) (collectively, “Respondents”) will not adversely affect public health and welfare, competitive conditions in the U.S. economy, the production of like or directly competitive articles in the United States, or U.S. consumers. The articles at issue—secondary cylindrical lithium-ion battery cells, their components, and downstream products such as cordless power tools that incorporate them—are not the type of articles the Commission has found to implicate public interest concerns if excluded. *See Certain Baseband Processor Chips & Chipsets*, Inv. No. 337-TA-543, Comm’n Op. at 136–37 (June 19, 2007); *Spansion, Inc. v. Int’l Trade Comm’n*, 629 F.3d 1331, 1360 (Fed. Cir. 2010). To the contrary, the public interest is served by enforcing Complainants’ intellectual property rights. *See Certain Laser Bar Code Scanners & Scan Engines*, Inv. No. 337-TA-551, Comm’n Op. at 24 (June 14, 2007). That is especially so here: all of the accused battery cells come

from a manufacturer (EVE) the U.S. Department of War designated a “Chinese military company” on June 8, 2026, and the requested orders will support Complainants’ new multi-billion-dollar domestic cylindrical-battery manufacturing industry in Arizona. The Commission therefore need not delegate public interest fact-finding to the Administrative Law Judge.

I. USE OF THE ACCUSED PRODUCTS IN THE UNITED STATES

The Accused Products are secondary (rechargeable) cylindrical lithium-ion battery cells (“cylindrical cells”)—including the EVE 18650- and 21700-format cells identified in the Complaint (e.g., the 20P, 29V, 40PL, 50E, and 50PL)—their components, and the downstream products that contain them. In the United States, cells of these formats are used principally to power cordless power tools and outdoor power equipment, such as drills, drivers, saws, and lawn-and-garden equipment, and other portable consumer and industrial devices.¹ The downstream products identified in the Complaint are cordless power tools and related equipment sold under the Bosch, Metabo HPT (Koki), and EGO (Chervon) brands. These are ordinary consumer and commercial goods—not medical devices, pharmaceuticals, vaccines, critical infrastructure, or articles necessary to satisfy any important public health or welfare need.

II. THERE ARE NO PUBLIC HEALTH, SAFETY, OR WELFARE CONCERNS RELATING TO THE REQUESTED REMEDIAL ORDERS

The requested orders will have no adverse impact on public health, safety, or welfare. The Accused Products are not of a type the Commission has found to implicate such concerns. *See Spansion*, 629 F.3d at 1360 (relief denied on public-interest grounds only where exclusion would deprive the public of products necessary to an important health or welfare need—such as unique

¹ Cylindrical lithium-ion cells in the 18650 and 21700 formats are widely used to power cordless power tools, outdoor power equipment, flashlights, and other portable consumer and industrial devices. *See* Global 18650 and 21700 Battery Market, Dataintel (2026), <https://dataintel.com/report/global-18650-and-21700-battery-market> (last visited July 10, 2026).

automobiles necessary to alleviate public panic during the energy crisis of 1979, accelerator tubes required to study nuclear structures during the Cold War, or hospital beds for burn patients unavailable elsewhere and with no comparable substitute). Because Complainants seek a limited exclusion order, exclusion would reach only Respondents' infringing articles, leaving unaffected the many non-accused cylindrical cells and battery-powered products supplied by third parties. Far from disserving the public interest, the relief advances it: the accused cells are manufactured by EVE Energy Co., Ltd., which the U.S. Department of War designated a "Chinese military company" operating in the United States under Section 1260H of the National Defense Authorization Act for Fiscal Year 2021.² Excluding infringing articles supplied by a designated Chinese military company is fully consistent with the public interest and U.S. policy.

III. COMPLAINANTS AND THIRD PARTIES MAKE LIKE OR DIRECTLY COMPETITIVE PRODUCTS THAT COULD REPLACE THE VOLUME OF ACCUSED PRODUCTS IF EXCLUDED

A well-established market of alternative suppliers makes cylindrical cells like or directly competitive with the accused EVE cells. Manufacturers including Samsung SDI, Panasonic, Murata (formerly Sony), and LGES itself produce 18650- and 21700-format cells that are widely used in power tools and other portable devices and can substitute for the accused cells.³ Many cordless power tools and outdoor power equipment products sold in the United States do not use the accused EVE cells and would be unaffected by the orders. Consumers and original equipment manufacturers thus have ample non-infringing alternatives at both the cell and finished-product

² See U.S. Department of War, Entities Identified as Chinese Military Companies Operating in the United States in Accordance with Section 1260H (June 8, 2026), <https://media.defense.gov/2026/Jun/08/2003945537/-1/-1/1/ENTITIES-IDENTIFIED-AS-CHINESE-MILITARY-COMPANIES-OPERATING-IN-THE-UNITED-STATES-IN-ACCORDANCE-WITH-SECTION-1260H.PDF>; see also Notice of Availability of Designation of Chinese Military Companies, 91 Fed. Reg. 35,189 (June 10, 2026).

³ See Global 18650 and 21700 Battery Market, *supra* note 1 (identifying Samsung SDI, Panasonic, LG Energy Solution, and Murata among leading producers).

levels, and Respondents themselves remain free to supply non-infringing cells. Exclusion of infringing products does not harm the public interest when substitute products are available and the accused products are manufactured overseas. *See Certain Digital Televisions*, Inv. No. 337-TA-617, Comm’n Op. at 15 (Apr. 23, 2009). That is the case here.

IV. ALTERNATIVE SUPPLIERS HAVE THE CAPACITY TO REPLACE THE ACCUSED PRODUCTS IN A COMMERCIALLY REASONABLE TIME

Complainants and the broad base of third-party suppliers identified above have ample capacity to replace the volume of accused articles in a commercially reasonable time. The existing market for battery cells of the accused formats is large—valued at roughly \$12.8 billion in 2025—and established suppliers such as Samsung SDI, Panasonic, and Murata maintain high-volume production lines that already serve the U.S. power-tool and consumer-device markets.⁴ These and other major suppliers, including Molicel, collectively account for the substantial majority of battery-cell supply and are expanding U.S. capacity for the relevant formats. Any gap created by the requested orders, which reach only Respondents’ infringing articles, could readily be met from these existing alternative sources. No public interest concerns arise where, as here, the market contains an adequate supply of competitive or substitute products for those subject to a remedial order. *See Certain Elec. Digital Media Devices & Components Thereof*, Inv. No. 337-TA-796, Comm’n Op. at 114-15 (Sept. 6, 2013).

Complainants themselves likewise have the capability and capacity to supply cylindrical batteries to the U.S. market. LGES is a global leader in cylindrical-cell manufacturing that already produces such cells at scale at its facilities worldwide, and it is investing approximately \$5.5 billion in a battery-manufacturing complex in Queen Creek, Arizona—including roughly \$3.2 billion for

⁴ Global 18650 and 21700 Battery Market, *supra* note 1 (2025 market value of approximately \$12.8 billion).

a dedicated cylindrical-cell plant, its first stand-alone cylindrical battery plant in North America, designed for approximately 36 gigawatt-hours of annual production capacity.⁵ That plant is substantially complete, with commercial production expected to begin in late 2026. Because abundant third-party capacity is available now and Complainants are bringing substantial additional U.S. capacity online, the requested orders will not create any shortage of cylindrical batteries or the products that use them.

V. THE REQUESTED ORDERS WILL NOT HARM U.S. CONSUMERS

The requested orders would have little or no adverse impact on U.S. consumers. Abundant non-infringing alternatives exist at both the cell and finished-product levels, and the limited exclusion and cease and desist orders reach only Respondents' infringing articles, so consumers will retain a wide selection of cylindrical batteries and battery-powered products. The relief instead advances the public interest: it protects and rewards Complainants' substantial investment in R&D and innovation, and supports a multi-billion-dollar domestic cylindrical-battery manufacturing industry in Arizona while reducing U.S. reliance on cells supplied by a designated Chinese military company. *See, e.g., Certain Baseband Processor Chips and Chipsets*, Inv. No. 337-TA-543, Comm'n Op. at 136-37 (June 19, 2007) (protecting innovation is in the public interest).

VI. CONCLUSION

For the foregoing reasons, the requested relief will not implicate any of the public interest concerns enumerated in 19 U.S.C. § 1337(d) and (f), and public interest fact-finding need not be delegated to the Administrative Law Judge.

⁵ *See* LG Energy Solution's \$5.5 Billion Stand-Alone Battery Manufacturing Complex Project in Arizona Well Underway, PR Newswire (Apr. 3, 2024), <https://www.prnewswire.com/news-releases/lg-energy-solutions-5-5-billion-stand-alone-battery-manufacturing-complex-project-in-arizona-well-underway-302106997.html> (last visited July 10, 2026) (cylindrical plant designed for approximately 36 GWh of annual production capacity).

Dated: July 21, 2026

Respectfully submitted,

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